UiPath: do not initiate

Investment committee review draft | PATH Class A common stock | USD | October 19, 2026 valuation | Prepared October 19, 2026

Committee action

Do not initiate at the October 19 intraday price of $13.03 (11:15 a.m. EDT). The fund has no existing position, so this is not a sell or short instruction. The operating DCF range is **$2.68-$6.11 per basic share**, with a $4.49 base case. These are conditional model outputs, not a confidence interval. Monitor for 12-18 months, approximately four to six earnings reports, and return to committee if operating evidence materially changes the forecast.

The student's initial enthusiasm for agents has shifted toward concern that agents replace existing robot licenses rather than add profitable revenue. Lower retention, consumption pricing, model inference costs and implementation services could weaken growth, margins and upfront collections together. This is a risk hypothesis to test, not an established claim that cannibalization has already occurred.

Valuation and disagreement

Method / case	Value per share	Interpretation
Downside FCFF DCF	$2.68	Slower expansion, 78% final GM, 65% SG&A/GP, weaker advance collections
Base FCFF DCF	$4.49	Growth fades to 7%; GM to 80%; SG&A/GP only improves to 63%
Upside FCFF DCF	$6.11	Growth fades to 9%; GM stabilizes at 81%; SG&A/GP reaches 59%
PEGA reported P/E reference	$8.39	One qualified peer; both annual earnings bases contain tax effects
PEGA EV/LTM revenue reference	$12.75	Similar sales valuation to market; does not establish future profitability
PATH intraday price	$13.03	October 19, 2026, 11:15 a.m. EDT

Do not average these methods. The sales multiple places little direct discipline on the conversion of revenue into sustainable operating cash flow. The DCF retains SBC's economic cost, normalizes taxes and assumes limited operating leverage. P/E applies a single peer's multiple to reported earnings affected by tax benefits and differing annual periods. The EV/revenue reference is counterevidence to a simplistic claim that PATH is expensive on every measure. The recommendation depends on the analyst's operating judgment, not unanimous valuation methods.

At 11% WACC and 3% terminal growth, base enterprise value is $1,297.542m. Add $1,078.193m excess liquidity, subtract $0 funded debt and $34.251m existing acquisition claims, and obtain $2,341.484m equity. Divide by 521.155409m basic shares. Restricted cash and future accumulated cash are not added. Approximately **79.4% of enterprise value is terminal**.

Evidence and assumptions

The latest available quarterly evidence at the chosen cutoff reports 12% ARR growth and 109% net retention. These describe customer expansion; they are not interchangeable with recognized revenue or cash receipts. The model's operating history and opening balances trace to UiPath's annual and July quarterly filings. Q2 release and July 10-Q.

The base follows the student's retained growth and margin slowdown but replaces the earlier 59% terminal SG&A/GP with the student-approved 63%. The upside retains 59%, conditional on observed efficiency. The downside jointly

reduces growth and gross margin, keeps R&D at 24% of revenue and lowers deferred revenue/revenue to 32%. These are causal analyst scenarios, not probabilities. All three currently preserve do-not-initiate; the downside strengthens the rejection rather than fabricating a different action.

Holding all other base assumptions fixed, the reverse DCF requires SG&A/GP to fall from 65% to approximately **34.24%** by year five to support $13.03. This demonstrates the size of the operating gap under one chosen mechanism, not what investors necessarily expect. Faster growth, different margins or lower discount rates are alternative explanations requiring separate evidence.

Since September 24, ownership filings and partnership announcements have appeared; no newer quarterly report was found. The Snowflake integration supports product distribution, but does not establish incremental agentic ARR or margins. Operating paths therefore remain unchanged. See `market-update-oct19.md`.

Reversal and monitoring conditions

Revisit the bearish forecast if ARR growth exceeds 12% for two consecutive quarters, net retention reaches 110%, and disclosed agentic ARR is demonstrably incremental rather than relabeled existing business. Look for GAAP gross margin stabilizing around 81% and sales/marketing growing more slowly than gross profit, supporting SG&A/GP progress toward 59%.

Net retention below 105% for two consecutive quarters, weak total ARR, worsening unit delivery costs or reduced advance collections would strengthen the downside. Track cash generation after economic SBC cost and investment; buybacks and acquisition spending are uses of cash, not deductions from enterprise operating profit.

Crossing a metric threshold triggers an updated forecast and valuation. **It does not automatically trigger initiation.** Require the revised range to support the prevailing price with an acceptable margin of safety before asking the committee to buy. At a materially different market price, rerun the decision rather than carry forward this dated action.

Material limitations and validation

This October 19 valuation retains the operating assumptions over five new rolling years; unchanged DCF values reflect that convention, not a time-value rollforward. Five rolling forecast years start from July reported balances used as a October opening proxy. A $100m lower cash position reduces value by about $0.19/share; a 5% larger denominator lowers the base to about $4.28. These tests do not bound all reporting-lag error. Basic fixed shares plus an SBC economic charge is not a precise dilution forecast.

WACC uses classroom parameters, not a fresh empirical calibration. Tax benefits from NOLs are omitted pending a supported schedule. Rolling-period amortization and stable lease balances are simplifying assumptions. One peer is a weak cross-check; an independently validated agentic unit-economics model is absent. These limitations constrain confidence in the precise endpoints.

Ten ordinary automated tests passed, including statement articulation, filing aggregation, known-answer training-case reconciliation, FCFF/enterprise-equity bridges, sensitivity directions and broken-model refusal. They do not prove the forecasts. The student's AI-off gross-margin test is complete: value fell 10.4% and non-initiation remained unchanged. Final review and recordings remain outstanding. Named AI tools and test evidence are centralized in `validation-and-ai-use.md`.

Committee request: **retain zero exposure and review the operating evidence over the next four to six reports.** Prioritize whether agentic demand adds profitable business and whether selling efficiency can improve without weakening growth.

Market snapshots: PATH $13.03 at 11:15 a.m.; PEGA $34.37 at 11:25 a.m. EDT, October 19. Quotes are ten minutes apart, not synchronized closes. Full input dates, filing locators and peer qualifications are in `source-register.md` and `peer-policy.md`.